

hand, consistently paid a higher dividend, peaking at ₹17.2 in FY24, but experienced a significant decline in market price by 8%, from ₹383 in FY23 to ₹321 in FY24. Embassy offered a dividend of ₹10 in FY24, up from ₹7 in FY23, while its market price dipped slightly by 4%, from ₹350 in FY23 to ₹335 in FY24. Similar data is not available for Nexus, since it was listed in May 2023.

SIGNS OF A COMEBACK?

Despite these challenges, REITs have shown remarkable resilience. As the economy gradually recovered and businesses adapted to the new normal, occupancy rates began to stabilise. Embassy Office Parks REIT, for instance, reported an improvement in occupancy rates

About Brookfield, Nuvama said it had a mixed performance in Q1FY25. While it rented out less space than in the previous year, its net operating income increased slightly. Occupancy stands at around 84%, which the management expects to rise to 87–89% by FY25-end, driven by improving office demand. The DPU to investors was lower than in the previous quarter. Additionally, Brookfield acquired a 50% stake in a large commercial property during the quarter. On the other hand, Mindspace had a good Q1. Its NOI increased by 9%, DPU rose by 5%, in-place rents grew by 6%, and committed occupancy improved slightly. Additionally, it saw a significant uptick in leasing, with 1.1 million sq. ft of space leased out.

Nexus Select Trust, meanwhile, is benefiting from



“India currently boasts a REIT-ready commercial supply of ₹5.8-6.2 lakh crore across seven key cities, with Bengaluru alone accounting for nearly 31% of the supply”

HARISH FABIANI
CHAIRMAN,
INDIALAND GROUP



“Capital gains arising from the sale of units by the unitholder are taxable at 12.5% if the units are held for more than 24 months. Otherwise, the tax rate is 20%”

DEEPA DALAL
PARTNER,
DELOITTE INDIA

from 81% during the peak of the pandemic to 87% by the end of the last financial year.

According to a report by investment firm Nuvama Wealth, Embassy REIT had a strong first quarter of FY25. Its gross leasing activity surged 70% compared to the previous year, and net operating income (NOI) increased slightly. Distribution per unit (DPU) rose by 4%, while in-place rents grew by 6%. Although occupancy remained flat, it expects that to improve marginally to 88% by the end of FY25. Additionally, the company has increased its leasing guidance for the year. Brookfield and Mindspace REITs too saw similar recoveries, buoyed by a renewed demand for office spaces, especially in tech hubs like Bengaluru and Hyderabad.

the revival of the retail sector, with its occupancy rates climbing back to 92%. The easing of lockdowns and the return of shoppers to malls have helped restore confidence in retail real estate. Moreover, the diversification of tenant profiles has provided a cushion against potential future disruptions.

Nexus's NOI increased by 7% year-on-year in Q1, reaching ₹410 crore. Additionally, it paid out a dividend of ₹2.1 per unit to its investors, which was 3% higher than the previous quarter. It is on track to achieve a 9% YoY increase in NOI and DPU in FY25. Consumer spending in Q1 rose by 3% YoY to around ₹3,000 crore, and the occupancy rate of its retail properties is now at a high of 97.4%.